

NATIONAL NETWORK • Y2 → Y5 ROLLOUT

RaceSims

- **National Network**

India's gateway to motorsport. Chennai is the proof point. This is the path from one centre to a national network — and to the next generation of Indian racing drivers.

India's gateway *to motorsport.*

Whether you want to try racing once or pursue it as a career — this is where you start. India has thousands of motorsport aspirants. Unlike most other sports, the entry barrier into motorsport is excruciatingly high. Kart fees, equipment costs, training infrastructure, time — all gate the path to a real cockpit. Everyone aspires; few get to try. **RaceSims removes that gate.** We make racing accessible for the price of a movie ticket, and give those serious about it a structured ladder all the way to the grid.

BUILT ACROSS FOUR LINES OF BUSINESS

01

RaceSims Experience Centres

Premium sim racing venues where anyone in India can come experience motorsport. **Walk-in sessions** · monthly memberships · corporate team events · private parties · café-lounge. **Chennai flagship opens 2026**, scaling to a **100-centre owned-and-operated national network**.

02

RaceSims Hardware Distribution

Official distributor and service partner in India for **world-leading premium sim racing hardware brands**. Every centre doubles as a showroom — bringing world-class racing equipment to Indian consumers and businesses with full after-sales service.

03

RaceSims Motorsport Academy

Where Indians learn to race. **Beginner courses** · progressive curriculum (Initiation → Race Academy → Rally School → Pro Track) · **Track Day Programmes** for supercar owners · **Real Driving Experiences** with ARKA + Buzzing Hornet · 1-on-1 coaching · B2B team training.

04

RaceSims Championships

India's first national-level sim racing leagues — both circuit and rally. **RaceSims Racing Championship + Rally Championship** launch 2027 · broadcast · sponsored · structured seasons with prize structures. Top finishers earn real race seats through our partnerships.

Founded by **Thambu Samy**, working race engineer at **ARKA Motorsports** — India's most-decorated motorsport team with **130+ national championship titles since 1987**.

By 2029, RaceSims will be *two things at once*.

India has **425 million gamers**; **10 million+** play racing games regularly. F1 viewership crossed 50 million in 2024. Yet padel, cricket, climbing, tennis — every other sport has a casual on-ramp. Motorsport hasn't. **We are building both the open door and the structured path.**

WHAT WE'LL HAVE BUILT AT SCALE

100,000+ FIRST-TIME RACERS

Indians who have raced with us — for most, their first time behind a real racing wheel.

2,000+ ACADEMY GRADUATES

Through the full curriculum — Initiation, Race Academy, Rally School, Pro Track — India's first generation of structured-trained sim racers.

RACESIMS-TRAINED ON REAL GRIDS

A measurable cohort of Academy graduates on Indian grids via ARKA Rally Drive and Polo Cup Follow Car.

CHAMPIONSHIP · SEASON 3

Broadcast, sponsored, with established hero drivers and national league standing.

THEN COME THE NUMBERS

CENTRES OPERATING

25

All owned, across 16 cities

REVENUE

₹22 cr

All flows to RaceSims direct

EBITDA

₹6 cr

Centres net of HQ build-out

VALUATION

₹500-700 cr

Series B at Y3

100,000+ customers across the network · 2,000+ Motorsport Academy graduates · First Academy graduate in real-world motorsport seat.

A place where motorsport finally becomes something anyone can try — and where the path to the racing grid begins for those who want to take it.

Three pillars. *The same three that define the brand.*

Drive • Train • Compete isn't just our framework — it's how each centre makes money. Each pillar carries multiple streams. Together they compound.

DRIVE

The volume — anyone can come

Per-session rigs

- 30-min · ₹750 · 1-hr · ₹1,250
- Pass 8 · ₹8K/mo · Pass 16 · ₹14K/mo
- 10-hr prepaid pack (~15% off)
- Motion rig premium · +₹500/hr

Group • Corporate • Private

- Corporate team days · ₹40-60K
- Birthday parties · ₹15-25K
- Private nights · ₹30-50K
- Brand activations / content shoots

Café • Merch • F&B

- Café · ₹150-400 avg ticket
- Branded merch · event-day kits
- Photo / content rentals

TRAIN

The depth — sim to real

The Motorsport Academy

- Initiation · 4 sessions · ₹8K
- Race Academy · 8 sessions · ₹20K
- Rally School · 10 sessions · ₹25K
- Pro Track · bespoke
- 1-on-1 coaching · ₹2.5-3.5K/hr

Pro Driver Training (B2B)

- Sim + telemetry coaching for real motorsport teams
- Per-event or retainer pricing

Real Driving Experiences

Through ARKA + Buzzing Hornet partnerships

- ARKA Real Drive** · ₹1.75L · **43% GM**
- Buzzing Hornet Real Drive** · ₹2.25L · **44% GM**
- Sim morning + real-car afternoon at the track

COMPETE

The brand engine

Championship participation

- Round entry · ₹2.5-5K
- Season pass · ₹15-25K
- Qualifying events · ₹500-1.5K

Championship operating profits

- Centre share of national championship*
- Hosted round share
- Sponsorship revenue share
- Broadcast + streaming revenue
- Content monetisation

Compete is the **brand engine, not the profit engine** — modelled at break-even. Its value is the funnel it feeds into Drive + Train across all 100 centres.

₹2.62 cr Y5 revenue per mature centre • 68% EBITDA margin • Compete compounds with every new centre.

Chennai is what *every centre will look like.*

We've built the single-centre business case bottom-up. **₹95L Y1 investment. 8 rigs. ₹5.16 cr 5-year EBITDA. 25-month payback.** Every centre in the 100-store network — Mumbai, Bangalore, Delhi, all of them — runs this exact template. No variation.

Y1 CASH NEED

₹95L

₹72L capex + ₹23L WC

PAYBACK

25_{mo}

Q1 of Year 3

5Y CUMULATIVE EBITDA

₹5.16_{cr}

5.4× capital multiple

Y5 EBITDA MARGIN

68%

Break-even at 23%

CHENNAI P&L • ₹ LAKHS	Y1	Y2	Y3	Y4	Y5	5Y TOTAL
Rig revenue	59.1	105.1	141.9	170.8	196.6	673.5
Ancillary (café, events, Academy, Real Drives, Track Day)	9.8	22.5	38.2	52.1	65.1	187.7
Total revenue	68.9	127.6	180.1	222.9	261.7	861.2
Total opex (incl. COGS)	53.8	62.3	69.5	76.3	83.2	345.1
EBITDA	15.1	65.3	110.6	146.6	178.5	516.1
EBITDA margin %	22%	51%	61%	66%	68%	60%
PAT (after dep + 25% tax)	3.2	40.8	74.8	101.8	125.7	346.2

Full Chennai proposal in the companion deck (12 slides). Numbers locked. Investor-grade.

The Chennai centre. *Replicated, identical, owned.*

No Mega vs Boutique split. No two-tier complexity. Every centre in the network is a **Chennai-template centre** — same footprint, same rig count, same operating playbook, same brand standard.

THE TEMPLATE · LOCKED

Chennai-spec centre

Footprint	2,000 sq ft
Rigs	8 (7 Rally + 1 Motion)
Hard capex (rigs + fit-out + deposits)	₹72 L
Working capital (5 months opex)	₹23 L
Total Y1 cash per centre	₹95 L
Monthly opex (Y1, locked v3.2)	₹4.34 L
Y1 revenue · 30% util	₹0.69 cr
Y5 revenue · 68% util mature	₹2.62 cr
Y5 EBITDA margin	68%
Payback	25 months
5Y capital multiple	5.4×

WHY ONE TEMPLATE, NOT TWO

- **Capital efficiency.** ₹95 L per centre means ₹95 cr replicates 100 centres — manageable. ₹4-5 cr Megas would push that to ₹250+ cr just for centres.
- **Operating consistency.** One playbook. One staffing template. One CX standard. Brand integrity scales with template integrity.
- **Faster rollout.** 8-week buildout per centre, not 6 months. 40 centres in Y5 is feasible.
- **Better unit economics.** Chennai-spec Y5 EBITDA margin is **68%**. Mega-format margins land at 30-35%. Same brand, half the margin.
- **Hardware showroom effect.** 100 centres × 8 rigs each = **800 rigs on display** across India — every centre becomes a Conspit/VNM showroom for consumer hardware sales.

Locked unit economics from Chennai v3.2. Every centre across the 100-store network runs to the same model. No estimation. No assumption-stack.

From one centre in 2026 *to 100 by 2030.*

Y1 · 2026	Chennai opens. Operating playbook documented. Hot Lap dealer pool live across 4 partner cities to seed brand awareness.	1 centre · ₹0.7 cr rev
Y2 · 2027	7 new centres open: Mumbai · Bangalore · Hyderabad · Delhi-NCR · Pune · Kochi · Coimbatore. National Championship Season 1 launches.	8 centres · ₹6 cr
Y3 · 2028	17 new centres: Tier-1 second locations (Whitefield · Bandra · OMR · Noida · Hinjewadi · Gachibowli · Anna Nagar · Gurgaon-2) + first Tier-2 cities (Jaipur · Chandigarh · Ahmedabad · Indore · Lucknow · Surat · Vadodara · Mysore · Goa).	25 centres · ₹22 cr
Y4 · 2029	35 new centres: Tier-1 third locations + 12 new Tier-2 cities (Mangalore · Vijayawada · Trivandrum · Madurai · Bhubaneswar · Vizag · Nagpur · Dehradun · Kanpur · Ludhiana · Bhopal · Raipur).	60 centres · ₹61 cr
Y5 · 2030	40 new centres: fills Tier-1 fourth locations, remaining Tier-2 metros, and entry into top Tier-3 cities. India saturated at 100 owned centres.	100 centres · ₹121 cr

100 Chennai-template centres · 2,000 sq ft, 8 rigs each · ₹95 L Y1 cash per centre · **all owned and operated by RaceSims** · Tier-1 metros, Tier-2 cities, top Tier-3 entry.

₹150 cr revenue. ₹52 cr EBITDA. All to RaceSims.

TOTAL CENTRES

100

All Chennai-template, owned

Y5 REVENUE

₹150 cr

100% RaceSims direct

Y5 EBITDA

₹52 cr

~35% blended margin

AT FULL MATURITY (Y8)

₹300 cr

All 100 centres mature

CENTRE REVENUE · Y5 COHORT MATH

COHORT	CENTRES	AGE	Y5 REV
Y1 (Chennai)	1	5y mature	₹2.6 cr
Y2 cohort	7	4y	₹15.6 cr
Y3 cohort	17	3y	₹30.6 cr
Y4 cohort	35	2y	₹44.7 cr
Y5 cohort	40	1y	₹27.6 cr
Centres subtotal	100		₹121.1 cr

Each centre runs the locked Chennai mix: Drive 86% · Train 12% · Compete 2%.

Conservative by design: championship modelled at break-even (global leagues are subsidised cost centres, not profit lines). The real adjacency upside is hardware — every centre is a showroom in a market with proven demand.

ADJACENCY REVENUE · Y5

STREAM	Y5
Hardware sales to consumers (800 rigs as showroom)	₹25 cr
Training + corporate (HQ-level B2B)	₹3 cr
Championship sponsorship + broadcast (≈break-even · brand-led)	₹2.5 cr
VMS SaaS (external customers)	₹2 cr
Adjacencies subtotal	₹32.5 cr
Total Y5 revenue	~₹150 cr

EBITDA bridge: Centres ₹60 cr + Adjacencies ₹7 cr – HQ ₹15 cr = ~₹52 cr

₹75-90 cr external across two rounds. *Operating cash funds the back half.*

5-YEAR CAPITAL DEPLOYMENT (₹ CR)

YEAR	NEW CENTRES	CENTRES CAPEX	BRAND + HQ	TOTAL
Y1 · 2026	1	0.95	0.5	1.5
Y2 · 2027	7	6.7	4.0	10.7
Y3 · 2028	17	16.2	6.0	22.2
Y4 · 2029	35	33.3	10.0	43.3
Y5 · 2030	40	38.0	12.0	50.0
5-year total	100	95.1	32.5	~₹127 cr

Operating cash from cohort centres covers ~₹45-50 cr of the Y4-Y5 spend.

THE FUNDING LOGIC

100 × Chennai template at ₹95 L per centre = ₹95 cr in centre capex. Two clean rounds — one to prove, one to scale.

Series A · now

₹25-30 cr · funds Y1 (Chennai) + Y2 (7 new centres across Tier-1 metros) + Championship Season 1 launch + brand build + HQ team.

Series B · Y3

₹50-60 cr at ₹500-700 cr valuation · accelerates Y3-Y4 buildout (25 → 60 centres). 25 operating centres + Championship S2 + ₹22 cr revenue run-rate as proof points.

By Y5, operating cash from 60+ centres self-funds the final 40 openings.

All owned. All operated. *No franchise leakage, no brand dilution.*

WHY OWNED BEATS FRANCHISED

LENS	FRANCHISE	OWNED
Revenue capture per centre	6% royalty	100%
Hardware margin (centres)	~15% wholesale	30-40% retail
Brand control (CX, design, ops)	Variable	Absolute
Network compounding	Slow	Immediate
Speed of brand-standard rollout	Months per centre	Weeks
Capex per centre	0 (franchisee pays)	₹95L-₹4.5cr
Y5 revenue per centre to RaceSims	~₹12-15 L	₹2-6 cr

Trading capital intensity for revenue capture. The full upside accrues to RaceSims and its shareholders.

WHY THIS IS THE RIGHT STRUCTURE

- **Brand integrity is the moat.** Motorsport is unforgiving — one bad-experience franchisee can poison the brand in a city. Owned operation means every customer experience is brand-controlled.
- **Hardware distribution leverage compounds.** 100 owned centres × ~₹35L/yr Y5 hardware-to-consumer = ₹35 cr revenue stream that doesn't exist in a franchise model.
- **Championship integrity.** All centres run the same championship system, the same broadcast standard, the same sponsor experience — no franchise variability undermining the league.
- **Talent pipeline.** RaceSims-trained centre managers become regional ops leaders → city heads → next-generation founders. A franchise model breaks that career ladder.
- **Exit optionality.** A 100-owned-centre business sells at 10-15× revenue. A 100-franchise business sells at 4-6× royalty stream. **Same network, 3-4× the exit value.**

Capital-heavier upfront. Materially bigger Y5 outcome. Cleaner exit.

Five moats. *What we hold that no one else can replicate.*

01 · PEDIGREE MOAT

ARKA exclusivity + The Ladder

Founder is a working race engineer at **ARKA Motorsports** (130+ national championship titles since 1987). First Academy graduates in real ARKA seats by Y3. Years to build, almost impossible to replicate from cold.

02 · INTEGRATION MOAT

Centres + championship + curriculum + sim-to-real

The only brand in India running the full stack under one roof. Hardware-only and community-only competitors play one slice. **We play the whole.**

03 · COST MOAT

Premium hardware distribution rights

Official India distributor and service partner for world-leading premium sim racing hardware brands — favourable economics on every centre. Every owned centre doubles as a consumer showroom — **800 rigs on live display across India by Y5**, driving a **₹25 cr/yr hardware-to-consumer revenue stream** on top of centre revenue.

04 · NETWORK MOAT

100 owned centres feeding one brand

25 centres by Y3 · 100 by Y5 — leaderboards, championship rounds, member migrations all compound across an owned network. No franchisee operating-standard variance. The brand becomes a **tightly-run flywheel**, not a venue chain.

05 · BRAND MOAT

"Motorsport Academy graduate" as a credential

"*Motorsport Academy graduate*" becomes a recognised mark inside the Indian motorsport ecosystem. **RaceSims Champion** means something. Years to earn, permanent once landed.

Together they compound

Each moat alone is meaningful. Together they form a **defensive structure no specialist competitor can assemble in under 5 years** — even with capital.

₹1,500-2,000 cr at Year 5. *Compounds to ₹3,500 cr at maturity.*

THREE VALUATION LENSES · Y5

LENS	MULTIPLE	VALUATION
Revenue (premium growing brand · ₹150 cr)	10-12×	₹1,500-1,800 cr
EBITDA (mature platform · ₹52 cr)	25-30×	₹1,300-1,560 cr
Strategic (PE / sports group)	12-15× rev + growth	₹1,800-2,250 cr
Realistic Y5 range		₹1,500-2,000 cr
At full maturity Y8 (all 100 centres mature · ₹300 cr rev)		₹3,000-4,000 cr

EXIT SCENARIOS

- **IPO** · Y6-Y7 at ₹2,500-3,000 cr on 100-centre owned base + maturing cohorts
- **Strategic acquisition** · Indian sports conglomerate (Tata · Reliance · Mahindra Racing), global esports / entertainment group
- **PE growth fund** · build-and-hold to ₹5,000 cr+ via maturity + international expansion (US · UK · UAE)
- **Continued private at scale** · founder retains majority through Series A + B

COMPARABLE BENCHMARKS

- Topgolf · acquired by Callaway for \$2 B (~₹16,000 cr)
- F1 Arcade (global): NYSE-traded · comparable owned-network model
- Cure.fit / Cult.fit at peak: \$1.5 B (~₹12,000 cr)

Premium · scarce · category-defining. *India's gateway to motorsport, owned end-to-end.*

₹25-30 cr Series A. *8 centres + championship by end of Year 2.*

USE OF FUNDS

- Chennai flagship · ₹1 cr
- 7 Y2 centres (Tier-1 metros) · ₹7 cr
- Marketing + brand build · ₹5-6 cr
- Championship S1 launch · ₹3-4 cr
- VMS platform + tech team · ₹2-3 cr
- HQ ops + working capital · ₹6-8 cr

WHAT IT RETURNS

- 8 centres operating by end of Y2
- 25 centres · ₹22 cr revenue by end of Y3
- ₹500-700 cr Series B valuation at Y3
- ₹1,500-2,000 cr Y5 valuation
- 40-70× return potential on Series A
- Operating cash positive by Y3

TIMELINE

- Close Series A · 90 days from term sheet
- Chennai open · Q3 2026
- First Y2 centre open · Q1 2027
- 8 centres operating · End Y2
- 25 centres + Championship S2 · End Y3
- Series B · End Y3 · ₹50-60 cr

We built the unit economics. We built the brand. **Now we want to build the network.**

Help us put the next great Indian driver on a real grid by 2029.